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TENTATIVE RULING

July 16, 2026

24SMCV00901 (Legacy LLC, et. al. v. Haxton, et. al.)

RELEVANT BACKGROUND

On February 27, 2024, plaintiff Tustin Legacy, LLC (Tustin), individually a derivatively on behalf of Mr. Charlie Told Me So LLC (MCTMS) (collectively, Plaintiffs) filed the complaint against defendants Aaron Haxton (Haxton); Taylor McKinnon (McKinnon); MCTMS; and Does 1-100 (collectively, Defendants). Plaintiff alleges eight causes of action: Declaratory Relief; Breach of Fiduciary Duty; Conversion; Violation of Penal Code § 496 (Theft and Receiving Stolen Property); Imposition of Constructive Trust; Unfair Business Practices; Accounting; and Injunctive Relief.

On April 24, 2024, Haxton, McKinnon, and MCTMS (collectively, Cross-Complainants) filed a cross-complaint against Tustin Legacy, individually and on behalf of MCTMS, Tommy Nhan Le (Tommy); Nam Le (Nam); Hai Le (Hai); and Does 1-25, alleging five causes of action: declaratory relief, breach of contract, intentional misrepresentation, rescission, and unfair business practices.

On February 19, 2025, the Court sustained the demurrer to the Cross-Complaint with leave to amend.

(2/19/25 Minute Order.)

On March 25, 2025, Cross-Complainants filed a first amended cross-complaint (FACC) alleging three causes of action: declaratory relief; intentional misrepresentation; and unfair business practices.

As alleged in the FACC, in March 2022, Haxton, McKinnon, and Tommy met to discuss an investment in a fast-food company. (FACC, ¶ 9.) Tommy allegedly advised Haxton and McKinnon that he would invest $200,000 in exchange for a 25% interest in a fast-food company and that he and his brother, Nam, would perform services for the fast-food company. (Ibid.) In April 2022, Haxton, McKinnon, and Changhwan Kim (Charlie) formed MCTMS. (FACC, ¶ 12.) The original negotiations were for Tommy to receive 25%, but later Tommy told Cross-Complainants that his equity would go under his brother, Nam's, name. (FACC, ¶ 14.) Nam purportedly told Cross-Complainants that that the equity interest would be under the name Hai. (Ibid.) Later, Cross-Defendants requested that Cross-Complainants use the name Tustin for the 25% interest. (Ibid.) From around October 4, 2022, through December 29, 2022, the parties exchanged drafts of Operating Agreements, the last draft of which was December 29, 2022, but the parties allegedly never agreed on terms. (FACC, ¶ 15.) In or about February 2024, Cross-Defendants purportedly threatened to file suit regarding the claim of a 25% interest in MCTMS. (FACC, ¶ 16.)

INSTANT MOTION

On April 1, 2025, Plaintiff, Tommy, and Nam (Cross-Defendants) filed the instant demurrer to the first through third causes of action in the FACC, as well as a motion to strike. Cross-Complainants filed oppositions, and Cross-Defendants filed a replies.

MEET AND CONFER

The Court finds that Cross-Defendants have satisfied the meet and confer requirement. (Kuehl Decl. ¶¶ 3-4.)

DISCUSSION

I.

DEMURRER

A.
Declaratory Relief

"To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (General of America Insurance Co. v. Lilly (1968) 258 Cal.App.2d 465, 470.) "The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief" (California Insurance Guarantee Association v. Superior Court (1991) 231 Cal.App.3d 1617, 1624), and a duplicative cause of action is subject to demurrer (Palm Springs Villas II Homeowners Association, Inc. v. Parth (2016) 248 Cal.App.4th 268, 290). Further, "there is no basis for declaratory relief where only past wrongs are involved." (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, quotation marks omitted.)

Here, Cross-Defendants argue that the declaratory relief claim is vague, improper, and not the proper subject of declaratory relief because it seeks only a general "judicial declaration of the rights and obligations of the parties in MCTMS is necessary and appropriate at the present time so that the parties can ascertain their rights in and obligations in MCTMS." (FACC, ¶ 18.)

The Court agrees with Cross-Defendants and finds that the FACC fails to allege an adequate basis for declaratory relief. (See FACC ¶ 17-18.) The Court previously sustained the demurrer to this cause of action with leave to amend, reasoning: "Put simply, it is not clear what sort of declaratory relief Cross-Complainants seek, as they provide only a general statement that they seek a judicial declaration regarding the parties' rights and obligations, and the purported controversy is merely a restatement of the parties' claims. A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action.” (2/19/25 Minute Order.) Despite being provided with an opportunity to amend the Cross-Complaint, Cross-Complainants still fail to cure the defects. (See FACC ¶ 17-18.) The Court disagrees with Cross-Complainant’s argument regarding paragraphs 17 and 18, as these allegations merely restate the same vague request the Court has already rejected as insufficient. The opposition also fails to address that that only Tustin, not Nam, Tommy, and Hai allegedly asserted a 25% membership interest in MCTMS. (FACC, ¶ 17.B.)

The Court finds that leave to amend is not appropriate given that Cross-Complainants have already been provided an opportunity to cure the defects and failed to do so, and it is not reasonably possible that the defects can be cured by amendment.

Accordingly, the demurrer to the first cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

B.
Intentional Misrepresentation

“The elements of a cause of action for intentional misrepresentation are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another’s reliance on the misrepresentation, (4) actual and justifiable reliance, and (5) resulting damage.” (Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166.)

The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) “[Fraud’s] particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’ [Citation.]” (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.)

To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State

Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Here, Cross-Defendants argue that the intentional misrepresentation claim fails to state any specific material facts to demonstrate what each cross-defendant purportedly misrepresented and to whom, each cross-defendant's knowledge of fraud and intent to defraud at the time of making purported misrepresentations, justifiable reliance on each statement made by the cross-complainants, and resulting damages to the Cross-Complainants.

The Court agrees with Cross-Defendants and finds that the FACC fails to allege facts sufficient to state a cause of action for intentional misrepresentation. The Court previously sustained the demurrer to this cause of action alleged in the Cross-Complaint, reasoning: "Cross-Complainants allege that Cross-Defendants Tommy Le and Nam Le orally represented to Cross-Complainants Haxton and McKinnon that Cross-Defendants would become a member of MCTMS , but they failed to sign an operating agreement to that effect because they did not intend to become a member until MCTMS became successful. (Cross-Compl. ¶¶ 23-25.) CrossComplainants do not allege any specific statements made to them, who made the statements, that person's authority to speak for the corporate entity, when the statements were made, and by what means." (2/19/25 Minute Order.) Despite being provided with an opportunity to amend the Cross-Complaint, Cross-Complainants still fail to cure the defects. (See FACC ¶ 19-26.) The Court is not persuaded by Cross-Complainant's arguments, as the FACC and opposition still fail to identify any specific statements made by any of the Cross-Defendants or to allege facts showing that Cross-Complainants reasonably and justifiably relied on such statements.

The Court finds that leave to amend is not appropriate given that Cross-Complainants have already been provided an opportunity to cure the defects and failed to do so, and it is not reasonably possible that the defects can be cured by amendment.

Accordingly, the demurrer to the second cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

C. Unfair Business Practices

To set forth a claim for a violation

of Business and Professions Code section 17200 (“UCL”), Plaintiff must establish Defendant was engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising” and certain specific acts. (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

Here, Cross-Defendants argue that the unfair business practices claim fails to allege facts with particularity and that the purported “unlawful, unfair, fraudulent and/or deceptive business practices” alleged are (1) purportedly failing to invest the agreed-upon amount, (2) purportedly failing to sign an operating agreement, and (3) purportedly failing to communicate. Cross-Defendants contend that none of these are proper subjects of a claim for unfair business practices. Cross-Defendants also point out that the FACC simply alleges that Tommy told cross-complainants that he would invest $200,000 and provide services to MCTMS but failed to do so. (See FACC, ¶¶ 19-21.)

Next, Cross-Defendants state that the claim appears to be no different than the other claims, and a cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez, supra, 23 Cal.4th at p.173.)

Lastly, Cross-Defendants argue that the FACC does not attempt to differentiate the roles of Cross-Complainants and Cross-Defendants in the facts. For example, it makes no mention of Cross-Defendant Hai Le despite including him in all three causes of action.

The Court agrees with Cross-Defendants and finds that the FACC fails to allege facts adequate to state a cause of action for Unfair Business Practices. The Court previously sustained the demurrer to this cause of action alleged in the Cross-Complaint, explaining: “Cross-Complainants allege that Cross-Defendants were engaged in a deceptive business practice of negotiating to acquire membership interests but failing to complete the agreement until the business became successful. (Cross-Compl. ¶ 37.) This does not sufficiently describe the purported improper practice, largely because the alleged wrongful conduct remains unclear. Further, the claim appears to be no different than the other claims, and a cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)” (2/19/25 Minute Order.) Despite being provided with an opportunity to amend the Cross-Complaint, Cross-Complainants still fail to cure the defects. (See FACC ¶ 27-30.) Cross-Complainants’ opposition also fails to cite any allegations pleaded with the requisite particularity that would constitute unlawful, unfair, or fraudulent business practices. Cross-Defendants do not cite any law imposing liability under the UCL for any of these actions. Cross-Complainants also fail to differentiate this cause of action from the intentional misrepresentation cause of action.

The Court finds that leave to amend is not appropriate given that Cross-Complainants have already been provided an opportunity to cure the defects and failed to do so, and it is not reasonably possible that the defects can be cured by amendment.

Accordingly, the demurrer to the third cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

II.
MOTION TO STRIKE

Based on the foregoing, the motion to strike is GRANTED.